

What's News

Business & Finance

- ◆ **Railroad operator** Union Pacific is holding talks to acquire its smaller rival Norfolk Southern in a deal that could create the largest rail operator in the U.S. **A1**
- ◆ **U.S. regulators** authorized Jui Labs to keep its e-cigarettes on the U.S. market, breathing new life into a company that had narrowly averted bankruptcy. **B1**
- ◆ **The S&P 500** and Nasdaq hit records in the wake of some strong earnings reports, rising 0.5% and 0.7%, respectively, while the Dow gained 0.5%. **B9**
- ◆ **CBS is pulling the plug** on "The Late Show With Stephen Colbert," and on the entire late-night franchise. **B1**
- ◆ **New jobless claims** last week fell to 221,000, from a revised 228,000 a week earlier, the Labor Department said. **A2**
- ◆ **Bristol-Myers Squibb** and Pfizer plan to sell the widely used blood thinner Elikvis directly to patients at a discounted cash price. **B1**
- ◆ **Novartis launched** a share buyback of up to \$10 billion and raised its profit guidance after logging second-quarter sales and earnings growth. **B3**
- ◆ **Netflix raised** its revenue and operating margin forecasts for the year, continuing a strong run that has propelled its shares to new highs. **B1**
- ◆ **FedEx is parting ways** with its chief digital and information officer, Sriram Krishnasamy, after a monthlong internal investigation into the unit that he oversaw. **B1**
- ◆ **Meta Platforms directors** and shareholders who had brought a data-privacy lawsuit against them agreed to settle, cutting short a trial. **B1**

World-Wide

- ◆ **Congress canceled** \$9 billion in federal spending for foreign aid and public broadcasting, following through on Trump's efforts to defund the programs and overcoming some resistance among Republican lawmakers. **A1**
- ◆ **Trump called** for the release of additional documents related to the investigation of convicted sex offender Jeffrey Epstein. **A6**
- ◆ **White House officials** are preparing an executive order targeting tech companies with what they see as "woke" artificial-intelligence models in another effort to go after DEI initiatives. **A3**
- ◆ **The U.K. and Germany** signed a Friendship and cooperation treaty to foster closer cooperation on defense and tighter economic ties. **A7**
- ◆ **Beijing threatened** to block a deal that would transfer ownership of dozens of seaports to Western investors if China's largest shipping company doesn't get a stake. **A16**
- ◆ **Some Trump administration officials** are citing national security to justify their reluctance to complete a deal making cutting-edge AI chips available to the U.A.E. **A3**
- ◆ **Trump was diagnosed** with a common vein condition after he identified "mild swelling" in his legs, the White House said. **A3**
- ◆ **The House advanced** three bills aimed at setting up cryptocurrency regulations. **A4**
- ◆ **Died: Connie Francis**, 87, pop star of the '50s and '60s. **A3**
- ◆ **Bryan Braman**, 33, former Philadelphia Eagles player. **A4**

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Congress Backs Trump Clawback

Both houses agree to slash \$9 billion from foreign aid programs, public broadcasting

WASHINGTON—The GOP-controlled Congress canceled \$9 billion in federal spending for foreign aid and public

By Ken Thomas, Lindsay Wise and Jasmine Li

broadcasting, following through on President Trump's efforts to defund the programs and overcoming some

resistance among Republican lawmakers.

The House passed the Trump administration's plan 216-213 early Friday. The Senate had passed it in the early hours of Thursday morning, 51-48, largely along party lines, with Republican Sens. Susan Collins of Maine and Lisa Murkowski of Alaska joining Democrats in opposition.

Both chambers acted before a Friday deadline after which the executive branch would have had to release the funding. The final vote was delayed for several hours Thursday night as Democrats in the House Rules Committee failed

to advance an amendment that would have required Attorney General Pam Bondi to release records related to convicted sex offender Jeffrey Epstein within 30 days.

The passage of the rescissions package again showed off Trump's ability to muscle legislation through the narrow GOP majorities in Congress and pressure holdout Republican lawmakers to get in line. The cuts are set to be the first time a White House has accomplished clawbacks in more than a quarter-century, and White House officials made clear that they would pursue additional reductions.

"Congress wants to be a part of voting for these cuts and making them permanent," said Russ Vought, the director of the White House Office of Management and Budget. Vought, speaking at a Christian Science Monitor breakfast, said the Trump administration was likely to send up another proposal to recover more funding, but he declined to provide specific details.

Senate Majority Leader John Thune (R., S.D.) said Congress's approval of the rescissions was a "small but important step toward fiscal sanity." The \$9 billion in cuts

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Railroad Operators In Talks For Large Tie-Up

Union Pacific eyes deal to buy Norfolk Southern, creating sprawling network

By Lauren Thomas and Ben Gluckman

Railroad operator Union Pacific is holding talks to acquire its smaller rival Norfolk Southern in a deal that could create the largest rail operator in the country, people familiar with the matter said.

The talks are in the early stages, and there are no guarantees they will result in a deal or receive regulatory sign-off, the people said. It is also possible another suitor could emerge.

Union Pacific has a market value of around \$140 billion, while Norfolk is valued at about \$60 billion.

Shares of Norfolk jumped 4% in after-hours trading following The Wall Street Journal report, while Union Pacific shares fell around 1.6%.

The deal would create a sprawling rail network that spans the continent and handles a sizable share of freight across the U.S. Currently, no railroad operator has a network that runs coast to coast in the U.S.

Union Pacific Chief Executive Officer Jim Vena has spoken publicly in recent months about the benefits of a transcontinental railroad. Vena has said that a transcontinental railroad would improve service as it would smooth out current delays at interchanges, when a railroad operator transfers railcars to another operator.

Still, any deal would face serious scrutiny from a series of regulators including the Surface Transportation Board, the economic regulator primarily overseeing freight railroads, as well as the Justice Department, investors, Amtrak and labor unions.

Analysts have speculated that Union Pacific is likely entertaining a merger proposal in part because of a

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Trump's tensions with Fed Chair Jerome Powell include criticism of cost overruns in the central bank's renovations. **A2**

Independent Fed Anchors Global System

By David Uberti and Justin Lahart

President Trump's threat to attempt to fire Federal Reserve Chair Jerome Powell has raised a pressing but potentially unanswerable question: What would the global economy and financial markets look like without an independent U.S. central bank?

Shielded from White House interference, the independent Fed has increasingly served as

an anchor for U.S. and global markets, stepping in to steady the ship during the 2008-09 financial crisis, the Covid pandemic and other shocks of recent years. Economists credit the central bank's ability to help keep things stable in large part to its power to make moves it deems necessary, regardless of politics.

Now, former Fed officials and investors warn that a central bank more beholden to the White House could lose its

ability to act quickly and credibly in the face of financial threats. On Tuesday, Trump suggested in a White House meeting with Republican lawmakers that he could soon try to oust Powell, escalating months' worth of criticism that the central bank has kept interest rates too high for too long.

The president later said it was highly unlikely that he would fire Powell.

Trump's pressure campaign against Powell has recently

centered on the \$2.5 billion renovation of the central bank's headquarters in Washington, with the White House criticizing cost overruns and marble construction.

"Politicians almost always think interest rates should be lower than they are," said Alan Blinder, a Princeton University economist and former Fed vice chair. "This is the major reason we need an independent central bank."

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INSIDE



U.S. NEWS

Justice Department seeks one-day sentence in killing of Breonna Taylor. **A3**



MANSSION

Teeing up a golf-community purchase? Beware the club waiting list. **M1**

One Man's Quest to Break A Record for Birthday Freebies

Competitive freeloaders plan for months to cash in on as many offers as they can

By Julia Munslow

The night before his birthday, Clint Svatos was up late worrying about whether everything would go to plan. His schedule was packed with stops all over Los Angeles, starting at 6 a.m. He anticipated eating a lot of sweets, receiving a bunch of gifts and returning home ex-

hausted. But Svatos wasn't preparing for a day of traditional festivities. He was getting ready to embark on his annual quest to snag as many free or discounted gifts as possible.

The 38-year-old aquatics manager is part of a proud breed of competitive birthday

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How Altman Outfoxed Musk To Become Trump's AI Buddy

With his rival out of the way, OpenAI's CEO has a clear path to press for company's goals; leaving the Democratic Party

Just two weeks after Elon Musk's spectacular breakup with President Trump, the tech billionaire's nemesis strode into the dining room of the president's New Jersey golf club wearing a suit and a wide smile.

Keach Hagey, Dana Mattioli and Josh Dawsey

Sam Altman, the 40-year-old chief executive of OpenAI, had just finished a long one-on-one meeting with Trump, and the two men were about to dine with the president's

top donors. Trump introduced Altman to the club's applauding members as "a very brilliant man," adding: "I hope he's right about AI."

That warm reception in June was a far cry from the cold shoulder Altman got in the first few weeks after Trump's election. Altman was estranged from Musk, his OpenAI co-founder, and Musk's new position as "first buddy" had kept Altman out of meetings at Mar-a-Lago and in the overflow room at the inauguration rather than on the dais with his

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Trump's Bawdy Letter to Epstein Was in 50th Birthday Album

By Khadeejah Saffar and Joe Palazzolo

It was Jeffrey Epstein's 50th birthday, and Ghislaine Maxwell was preparing a special gift to mark the occasion. She turned to Epstein's family and friends. One of them was Donald Trump.

Maxwell collected letters from Trump and dozens of Epstein's other associates for a 2003 birthday album, according to documents reviewed by The Wall Street Journal.

Pages from the leather-bound album—assembled before Epstein was first arrested in 2006—are among the documents examined by Justice Department officials who investigated Epstein and Maxwell years ago, according to people who have reviewed the pages. It's unclear if any of the pages are part of the Trump administration's recent review.

The president's past relationship with Epstein is at a sensitive moment. The Justice

Department documents, the so-called Epstein files, and who or what is in them are at the center of a storm consuming the Trump administration. On Wednesday, after angry comments about how the files are a hoax created by Democrats, President Trump lashed out at his own supporters for refusing to let the matter go.

The letter bearing Trump's name, which was reviewed by the Journal, is bawdy—like others in the album. It con-

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*Includes parts dealers †Includes appliances
‡Includes home furnishing
Note: Seasonally adjusted
Source: Commerce Department